3.9.3 Trading internationally and choosing markets

Unit 3.9 Strategic methods: how to pursue strategies · 8 key points

- **Reasons to trade internationally:** new markets, slow home market, spread risk, lower costs, economies of scale
- **Attractiveness of a market:** size, growth, incomes, competition, ease of doing business, political and economic stability
- **Exporting:** selling abroad from the home country
- **Licensing:** allowing a foreign business to make the product for a fee
- **Alliances:** working with a foreign business while staying separate
- **Direct investment:** setting up or buying operations abroad
- **Multinational:** a business with operations in more than one country
- **Trap:** exporting does not make a business a multinational